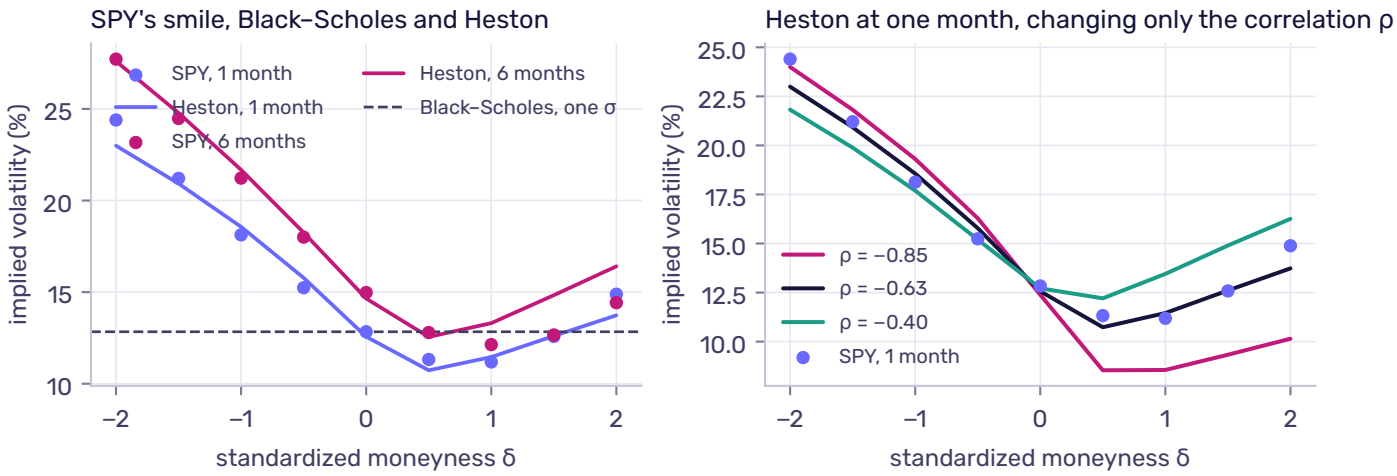
SPY's smile, Black–Scholes and Heston
SPY, 1 month
Heston, 1 month
SPY, 6 months
Heston, 6 months
Black–Scholes, one σ
implied volatility (%)
standardized moneyness δ
Heston at one month, changing only the correlation ρ
ρ = −0.85
ρ = −0.63
ρ = −0.40
SPY, 1 month
implied volatility (%)
standardized moneyness δ